

Oil Refineries Ltd.

March 25, 2026

Rating Affirmation

'ilA+' Rating Affirmed, Outlook Negative

Primary Credit Analyst:

Tom Dar 972-3-7539722 tom.dar@spglobal.com

Additional Contact:

Evgeni Silishtian 972-3-7539733 evgeni.silishtian@spglobal.com

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Rating Action Overview

- On March 20, 2026, Oil Refineries Ltd. ("Bazan" or the "Company") reported that as a result of an Iranian missile attack, localized damage occurred to the infrastructure supplying electricity to a utility facility and in an open area near an administrative building, at the Company's compound in Haifa Bay. Also damaged was external infrastructure owned by a third party located outside the compound, which is essential to the Company's operations. According to company reports, most of the production facilities are operating and the rest are in the process of resuming operation in the immediate term.
- Bazan continues to implement the rehabilitation plan for its facilities damaged in the Iranian missile attack in June 2025. As of the date of approval of its financial statements, the Company has completed the operation of steam facilities that enable full ongoing operation of its facilities with sufficient redundancy, and is working to achieve full redundancy. Due to the damage to the electricity turbines, the Company is currently relying on purchasing electricity.
- Despite the lower EBITDA in 2025, Bazan maintained a leverage ratio commensurate with the rating, due in part to substantial amounts it received from its insurance company for lost profits and advances it received from the Compensation Fund to cover costs for the damage caused.
- Due to the intensification of security risks, including the additional localized physical damage to Bazan's assets, in light of the Company's strategic importance to the local economy and given the geographic concentration of its operations, its facilities remain at risk and a deviation from our base scenario is possible.
- Accordingly, on March 25, 2026, we affirmed our 'iilA+' issuer rating on Oil Refineries Ltd. and our 'iilA+' issue rating on its unsecured bonds.
- The negative outlook reflects our concerns regarding Bazan's ability to consistently maintain operating and financial performance commensurate with the rating, given the additional damage to the Company's facilities and the increased risk due to the war with Iran and the conflict in Lebanon.

Rating Action Rationale

In the missile attack on northern Israel on March 19, 2026, there were localized hits at the Company's compound in Haifa Bay, but Bazan estimates that the damage is negligible and that the expected loss of profits is not material. The Company reported damage to the electrical infrastructure that supplies a utility facility, as well as damage to an open area near an administrative building. Also damaged was external infrastructure owned by a third party located outside the

compound, which is essential to the Company's operations. This is the second impact on the Company's facilities, following more significant damage sustained in the Iranian missile attack in June 2025, after which the facilities were shut down. We understand that most of the production facilities were already operating after the current impact, and Bazan estimates that the remaining facilities will gradually resume operations, until full completion and a return to optimal production outputs, in the coming days. The Company reported that the damaged external infrastructure has been restored to operation. According to the Company's preliminary assessment, the direct damage caused to its facilities is negligible, and it has begun procedures with the Property Tax and Compensation Fund. The Company estimates that fixing the damages would only take a few days, and accordingly, the loss of profits would not be significant. In addition, the Company has an insurance policy that provides some coverage against loss of profits resulting from acts of terrorism and war. The scope of coverage is \$400 million above initial damage of \$50 million, for an indemnity period of up to 30 months, subject to a 30-day deductible. In the event of additional physical damage or if the rehabilitation period is prolonged and the date of return to full operation is significantly delayed, we believe that receiving property tax payments for physical damage and compensation for loss of profits will mitigate the impact on financial results. In such a scenario, if the costs of damage or production are higher than the Company's estimates and compensation and insurance payments are insufficient, the likelihood that the Company will deviate from the characteristics commensurate with the rating will increase, as well as the negative pressure on the rating.

Bazan continues to implement the rehabilitation plan for its facilities damaged in the Iranian missile attack in June 2025. As a result of the attack, the energy center responsible for a significant portion of steam and electricity production used by the Company's facilities was directly damaged. In order to reinstate steam production, which is crucial for the distilling process, as of the date of approval of its financial statements the Company has completed the operation of steam facilities that enable full ongoing operation with sufficient redundancy, and is working to achieve full redundancy. Due to the damage to the electricity turbines, the Company is currently relying on purchasing electricity, which increases its production costs and adversely affects its profitability.

Despite the damage to its facilities, Bazan maintained a coverage ratio commensurate with the rating, thanks in part to significant insurance receipts and advances from the Compensation Fund. In 2025, the Company posted a decrease in adjusted EBITDA, but it was higher than our expectations, despite only partial recognition of the collection amounts for lost profits, and amounted to about \$365 million compared to about \$380 million in 2024. The decrease in EBITDA was mainly due to the facilities' shutdown due to the missile strike, periodic maintenance and lower polymer prices. However, the Company recognized revenue of about \$160 million in respect of an insurance

policy claim for loss of profits resulting from acts of terrorism and war (the Company claimed \$218 million), of which it has received about \$155 million to date. In addition, the Company received an advance of about \$48 million from the Compensation fund to cover rehabilitation costs, and is working to receive additional advances in accordance with its expenses. As a result, and despite investments in renovation and the acquisition of about 52% of Management Cantium LLC and the corporations it controls ("Cantium"), Bazan posted only moderate growth in adjusted debt to about \$1.4 billion in 2025 from about \$1.3 billion in 2024, and its gross debt-to-EBITDA leverage ratio was about 3.8x, at the upper end of the range commensurate with the rating.

We believe that despite the additional damage to facilities, Bazan will post growth in adjusted EBITDA in 2026 and its leverage ratio will remain within the range commensurate with the rating, but there may be a deviation from our base case scenario due to increased security risks. In our base case scenario, we estimate that the Company will post growth in adjusted EBITDA to \$400 million - \$420 million, mainly in light of higher refining margins and in accordance with the hedging the Company has implemented to date and our expectations for dividend receipts from Cantium. Also, based on the Company's business strategy and financial policy, we do not expect a material change in debt levels, so that the adjusted gross debt-to-EBITDA ratio will remain in the 3.0x-4.0x range.

The war with Iran disrupted oil supplies and led to a sharp increase in oil prices and refining margins. We believe that in the short term, the higher refining margins contribute to Bazan's and Cantium's profitability. If oil prices remain high in 2027, the Company's working capital needs may increase to a certain extent, and cash flows may come under pressure, which may lead to a deviation from our base case scenario. In accordance with S&P Global Ratings' assumptions, in our base case scenario we assume a gradual decline in oil prices and refining margins later this year, resulting in limited impact on the Company's 2026 results.

We believe that Bazan constitutes essential national infrastructure for the Israeli economy, which supports our business risk assessment. In 2025, the Company's market share of diesel consumption in the domestic market was about 67% and its market share of gasoline consumption was about 59%, in addition to the production of jet fuel, which is especially essential in times of war, and the increased supply of diesel for electricity producers due to the shutdown of some gas rigs. The temporary exemption the Company received from obtaining a permit under the Planning and Construction Law for the construction of buildings, facilities and steam boilers required to replace buildings and facilities damaged by missiles, reinforces our assessment of the importance of the Company's operations to the economy. Therefore, and in the absence of infrastructure required to

import refined fuel products sufficient for the local economy, at this stage the government's decision to evacuate petrochemical activity from Haifa Bay is not part of our base case scenario. We understand that the evacuation should be done while maintaining energy security and a regular supply of fuels to the Israeli economy and there is no clear timeline for its implementation, including the construction of crucial new infrastructures. Acceleration of the evacuation plan and implementation of operative actions that will affect the Company's operations may exert negative pressure on the rating.

Outlook

The negative outlook reflects our concerns regarding Bazan's ability to consistently maintain operating and financial performance commensurate with the rating, given the additional damage to the Company's facilities and the increased risk due to the war with Iran and the conflict in Lebanon.

We acknowledge that, with the onset of another round of fighting with Iran, security and geopolitical risks may increase, which may affect macroeconomic indicators in Israel and increase capital market volatility. At this point, uncertainty remains regarding the scope, duration and effects of the war. As the situation evolves, we will update our assumptions and estimates accordingly.

Downside Scenario

We may lower the rating by one notch or more if Bazan's operational continuity is jeopardized and we estimate that its business risk profile has deteriorated. We may also consider a downgrade if the Company posts adjusted gross debt to EBITDA above 4x over time, or in the event of a deterioration in its liquidity position.

Upside Scenario

We may consider revising the outlook to stable if we assess that security risks have materially and consistently subsided, and that the Company continues to maintain stable business operations. We believe that gross debt to EBITDA of 3x-4x is commensurate with the rating given the business cycle. Revising the outlook to stable also depends on the implementation of Bazan's financial policy, which includes maintaining a balance between investments and dividends, and its ability to handle any changes that may arise due to volatile market conditions.

Company Description

Bazan operates in the refining and petrochemical markets, mainly through a single manufacturing site in the Haifa Bay. It uses a combined manufacturing process such that some of the refining products are used in petrochemical production and some petrochemical products are used in the refinery. Refining activity generates about 90% of the Company's revenue, and petrochemical activity

generates the remainder. In addition, the Company holds about 52% in Cantium (a nonconsolidated affiliated company), which operates shallow water oil and gas assets in the Gulf of Mexico.

The main shareholder in the Company is Israel Petrochemical Enterprises Ltd., which holds about 24.7% of its shares. About 7.2% of the shares are held by Mr. Jeremy Blank, and the remaining shares are held by the public.

Base Case Scenario

Our base case scenario is underpinned by the following assumptions:

- In 2026: about 5% GDP growth in Israel and inflation rate of about 2.2%. In 2027: about 3.8% growth and inflation rate of about 2%.
- Refining spread of about \$9-\$10 per barrel in 2026-2027.
- A margin of about \$680-\$700 per ton of polyethylene in 2026-2027.
- A margin of about \$640-\$660 per ton of polypropylene in 2026-2027.
- Utilization rate of about 86%-90% in the refining facilities and about 80%-90% in the petrochemical facilities in 2026-2027, taking into account planned periodic maintenance.
- Annual investments as part of the restoration plan, as well as planned maintenance activities, totaling about \$300 million - \$320 million in 2026-2027.
- Dividend receipts from Cantium totaling about \$30 million - \$35 million in 2026-2027.
- Dividend distribution according to company policy.

Under our base case scenario, the expected adjusted ratios in 2026-2027 are as follows:

- Adjusted gross debt to EBITDA of about 3.0x-4.0x
- Adjusted EBITDA interest coverage of about 4.1x-4.7x
- Adjusted EBITDA margin of 7%-9%

Liquidity

According to our criteria, the Company's liquidity is "adequate". We estimate that the ratio between the Company's sources and its uses will exceed 1.2x in the 12 months starting January 1, 2026, considering refining margins in line with our base case scenario and the large cash balance at year-end 2025. Over the years Bazan has maintained a good relationship with the banking system and benefits from access to the capital market, which contribute to our assessment of its financial flexibility. On the other hand, our assessment of the liquidity profile is constrained at this stage by the exposure to business cycle and refining spread volatility.

We estimate the Company's main sources and uses in the 12 months starting January 1, 2026, to be as follows:

Principal Liquidity Sources	Principal Liquidity Uses
- About \$615 million in cash and cash equivalents. - Cash FFO (funds from operations) of about \$290 million - \$300 million.	- Ongoing maturities of about \$180 million. - Capital expenditure (capex) of about \$180 million - \$190 million.

Covenant Analysis

The Company has several financial covenants, including minimum equity, minimum cash and cash equivalents and maximum debt to EBITDA, as per specific definitions in the Company's financing agreements and bond debentures. The Company is also required to maintain stand-alone cash and unused committed credit facilities, as defined in the financing agreements, of at least \$75 million. We understand the Company meets all its financial covenants.

Modifiers

Diversification/portfolio effect: Neutral (no impact)

Capital structure: Neutral (no impact)

Liquidity: Adequate (no impact)

Financial policy: Neutral (no impact)

Management and governance: Neutral (no impact)

Comparative analysis assessment: Neutral (no impact)

Environmental, Social, And Governance

Environmental factors are a negative consideration in our credit rating analysis of Bazan. As part of the refining industry, Bazan is subject to the risks inherent in the growing decarbonization of the economy and expected decreasing demand for oil over time. It is experiencing growing scrutiny of its activities alongside increasing legal claims of environmental damage. Its location in the Haifa Bay increases the negative sentiment towards its operations.

Recovery Analysis

Key Factors

- We are affirming our 'iIA+' issue rating, identical to the issuer rating, on Bazan's unsecured bond series (Series 10, 12, 13, 15). The recovery rating for these series is '4', reflecting our assessment that in the hypothetical default scenario, the recovery rate would be 30%-50%.

Simulated Default Assumptions

- Simulated year of default: 2030
- A deep recession in the Israeli economy accompanied by a sharp decline in refining margins will lead to lower cash flows and jeopardize the Company's ability to service its debt.
- The Company will continue operating as a going concern, an assessment supported by its strategic importance as the supplier of about 60% of local liquid fuel demand.
- In the hypothetical default scenario, the Company will utilize credit facilities, including factoring facilities.

Simplified Waterfall

- Gross enterprise value according to DAV method: about \$630 million
- Administrative costs: 5%
- Available value to cover senior secured debt: about \$600 million
- Senior secured debt: about \$353 million
- Net value available for unsecured debt: about \$246 million
- Unsecured debt: about \$797 million
- Rated debt recovery expectations: 30%-50%

All debt amounts include six months' prepetition interest.

Mapping Recovery Percentages To Recovery Ratings

Recovery expectations (%)	Description	Recovery rating	Notching above/below issuer rating
100%	Full recovery	1+	+3 notches
90%-100%	Very high recovery	1	+2 notches
70%-90%	Substantial recovery	2	+1 notch
50%-70%	Meaningful recovery	3	0 notches
30%-50%	Average recovery	4	0 notches
10%-30%	Modest recovery	5	-1 notch
0%-10%	Negligible recovery	6	-2 notches

Recovery ratings are capped in certain countries to adjust for reduced creditor recovery prospects in these jurisdictions. Recovery ratings on unsecured debt issues are generally also subject to caps (see Step 6, paragraphs 90-98 of Recovery Rating Criteria For Speculative-Grade Corporate Issuers, December 7, 2016, for further detail). ICR--Issuer credit rating.

Related Criteria And Research

- [Principles Of Credit Ratings](#), February 16, 2011
- [Methodology: Industry Risk](#), November 19, 2013
- [Country Risk Assessment Methodology And Assumptions](#), November 19, 2013

- [Methodology And Assumptions: Liquidity Descriptors For Global Corporate Issuers](#), December 16, 2014
- [Recovery Rating Criteria For Speculative-Grade Corporate Issuers](#), December 7, 2016
- [Corporate Methodology: Ratios And Adjustments](#), April 1, 2019
- [Group Rating Methodology](#), July 1, 2019
- [Environmental, Social, And Governance Principles In Credit Ratings](#), October 10, 2021
- [Methodology For National And Regional Scale Credit Ratings](#), June 8, 2023
- [Corporate Methodology](#), January 7, 2024
- [Methodology: Management And Governance Credit Factors For Corporate Entities And Insurers](#), January 7, 2024
- [S&P Global Ratings Definitions](#), December 16, 2025

Ratings List

Oil Refineries Ltd.	Rating	Date when the rating was first published	Date when the rating was last updated
Issuer rating(s)			
Long term	ilA+/Negative	01/07/1995	11/08/2025
Issue rating(s)			
<u>Senior unsecured debt</u>			
Series 13	ilA+	09/03/2023	11/08/2025
Series 15	ilA+	16/09/2024	11/08/2025
Series 10	ilA+	19/08/2019	11/08/2025
Series 12	ilA+	01/09/2020	11/08/2025
Issuer Credit Rating history			
<u>Long term</u>			
August 11, 2025	ilA+/Negative		
June 17, 2025	ilA+/Watch Neg		
March 08, 2023	ilA+/Stable		
March 15, 2022	ilA/Stable		
March 31, 2020	ilA-/Negative		
April 07, 2019	ilA/Stable		
April 03, 2018	ilA-/Positive		
April 09, 2017	ilA-/Stable		
May 31, 2016	ilBBB+/Positive		
May 17, 2015	ilBBB+/Stable		
January 01, 2015	ilBBB/Positive		
December 18, 2013	ilBBB/Stable		
October 14, 2013	ilBBB-/Watch Neg		
December 02, 2012	ilBBB+/Negative		
May 06, 2012	ilBBB+/Stable		
November 30, 2011	ilA-/Watch Neg		
March 25, 2010	ilA-/Stable		

Oil Refineries Ltd.	Rating	Date when the rating was first published	Date when the rating was last updated
July 07, 2009	ilA/Negative		
April 23, 2009	ilA/Watch Neg		
November 12, 2008	ilA/Negative		
November 11, 2007	ilAA/Stable		
March 16, 2003	ilAA		
September 21, 1992	ilAAA		

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